

The same thing will be true to an even greater extent in the industrial field. The difficulty of paralleling an industrial is trifling, except in a few cases, compared with the difficulty in paralleling a railroad. Yet the opportunity for profit in this will be so great as to insure such building. It will be feasible in many cases in the next few years to sell short a substantial line of an industrial stock, then build a competing plant and operate it so as to take away the profits of the other company, thereby causing a large decline in the stock, which can then be bought at a profit to the short seller. Then, when the down-cycle is complete and the up-cycle begins, the two establishments can combine, issue new stock to the promoters at nominal prices, and by the development of business and the payment of substantial dividends obtain a market for this stock at high prices two or three years later.

We do not know just when the period of decline will begin, nor what properties will most keenly feel its effects, but the general course of events along the lines outlined can be predicted with as much certainty as could have been any of the cycles of the past.

AUGUST 31, 1901

There is a general similarity in all "booms" and in all periods of depression. The character of these movements is like a snowball running down an inclined plane and gathering snow as it runs. The movement is slow at the start, becoming quicker as progress is made and usually being quickest of all just before it ends.

When the character of the motive power is considered, it is evident why this should be the case. "Booms" are made by the gradual but increasingly rapid growth of confidence among the people. In 1895 and 1896 confidence was at a low ebb in financial and commercial circles in this country. Nobody wanted to take much risk in his business, and nobody